



Zebra Technologies Second Quarter 2022 Results

August 2, 2022



Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's offerings and competitors' offerings, and the potential effects of emerging technologies and changes in customer requirements. The effect of global market conditions and the availability of credit and capital markets volatility may have adverse effects on Zebra, its suppliers and its customers. In addition, natural disasters, man-made disasters, public health issues (including pandemics), and cybersecurity incidents may have negative effects on our business and results of operations. Our ability to purchase sufficient materials, parts, and components as well as our ability to provide services and software to meet customer demand could negatively impact our results of operations and customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions may also have an impact on results. Foreign exchange rates, customs duties and trade policies may have an effect on financial results because of the large percentage of our international sales. The impacts of changes in foreign and domestic governmental policies, regulations, or laws, as well as the outcome of litigation or tax matters in which Zebra may be involved are other factors. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations and increase the volatility of our financial results. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

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Anders Gustafsson, CEO

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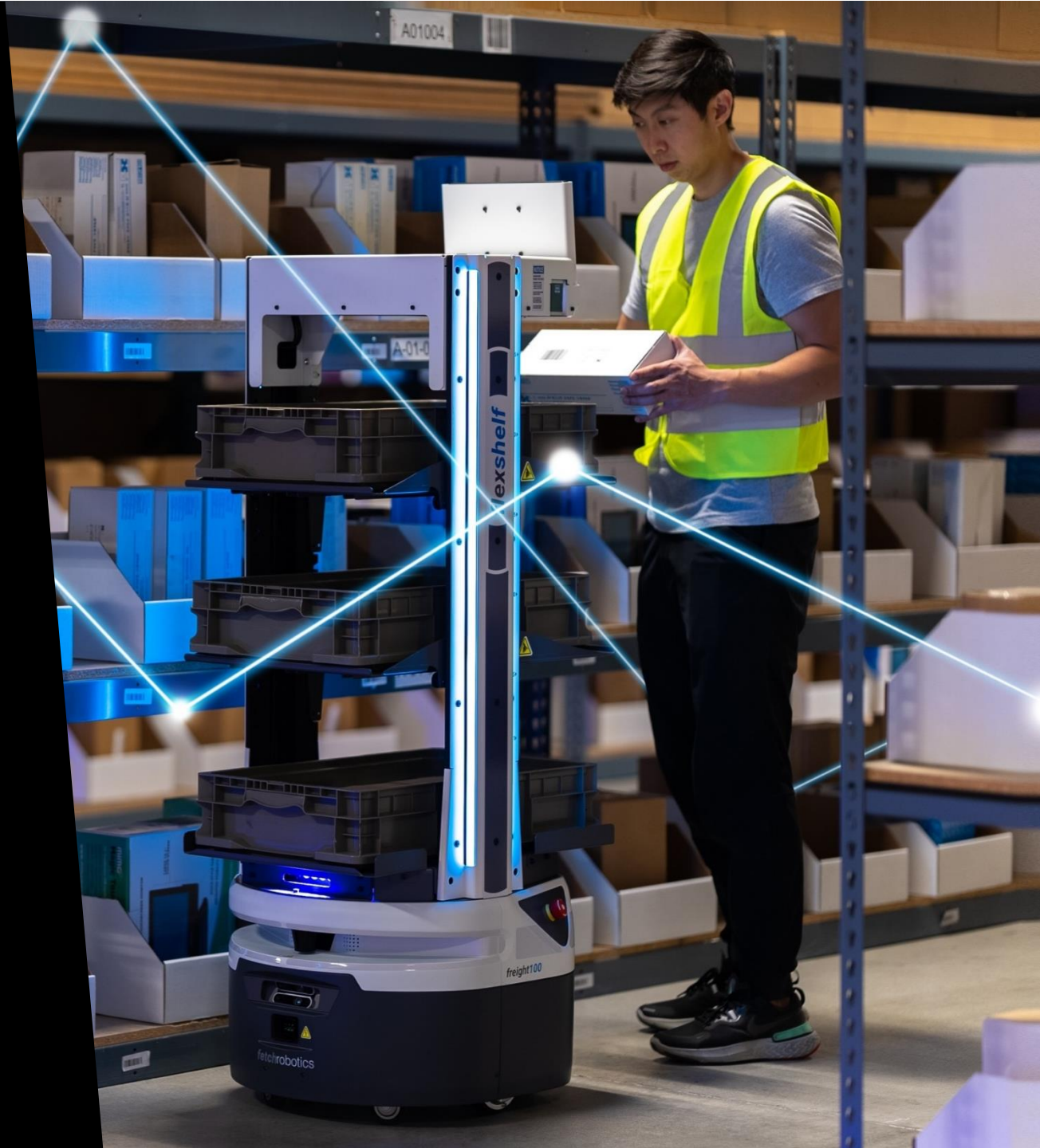
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Anders Gustafsson, CEO
Nathan Winters, CFO
Joe Heel, Chief Revenue Officer



Second Quarter 2022 P&L Highlights ⁽¹⁾

- Delivered sales and earnings results that exceeded our outlook in a challenging macro environment
- Organic Net Sales +6.9%
 - Broad-based demand for our solutions that help our customers automate & digitize their operations in the increasingly on-demand global economy
 - Strong growth in EMEA, Asia Pacific and Latin America
 - Particularly strong growth recovery in printing due to successful actions to drive supply
- Adjusted EBITDA Margin of 21.9%, decreased 170 bps year-over-year
 - Lower gross margin attributable to incremental premium supply chain costs and China import tariff recovery in prior year period
 - Lower operating expenses as a percentage of sales due to lower incentive comp exp
- Non-GAAP Diluted EPS \$4.61, +0.9% year-over-year



⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

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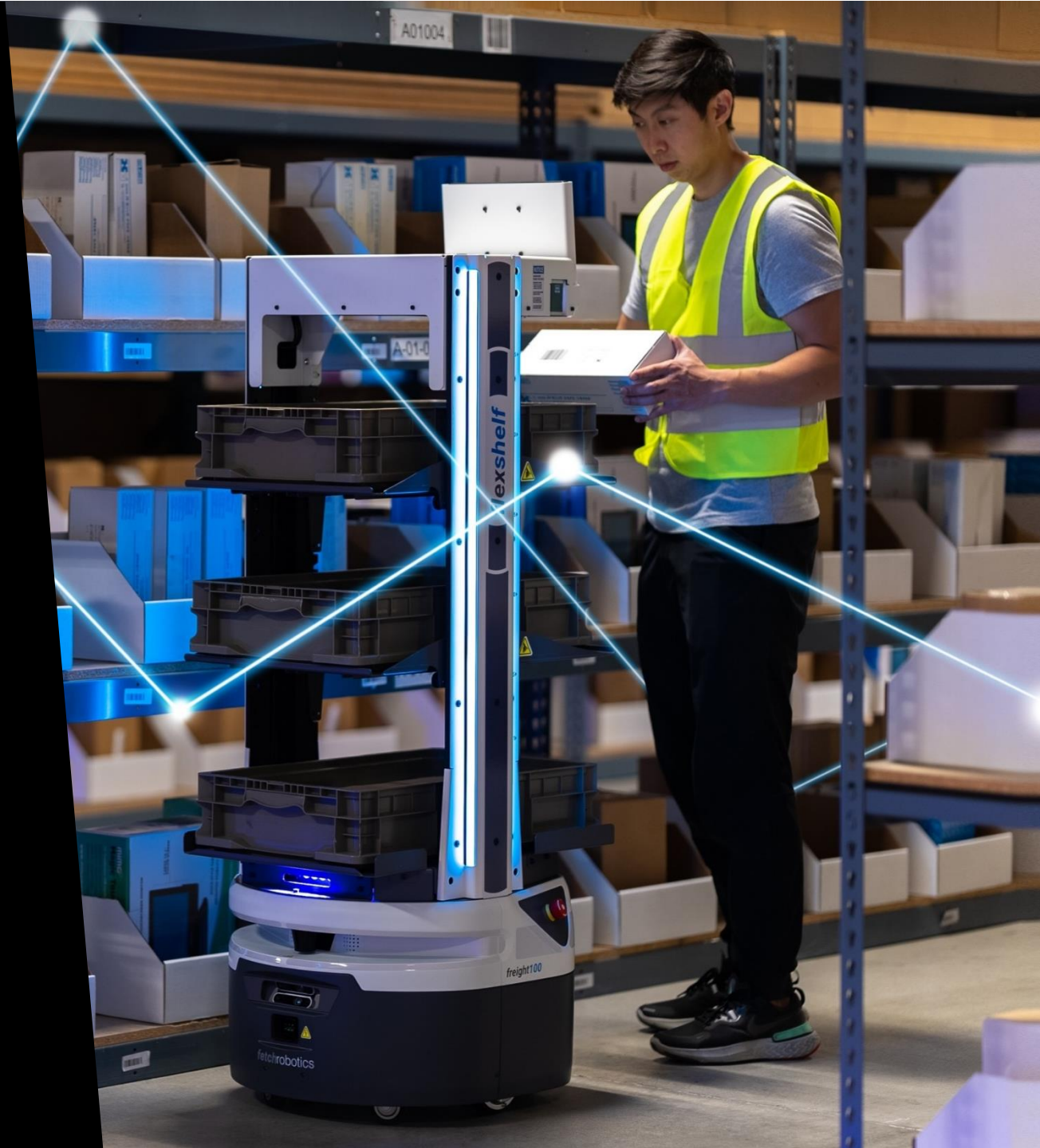
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Second Quarter P&L Summary⁽¹⁾

In millions, except per share data	2Q22	2Q21	Change
Adjusted Net Sales	\$1,468	\$1,380	+6.4%
Organic Net Sales Growth ^(2,3)			+6.9%
Adjusted Gross Profit	\$675	\$663	1.8%
Adjusted Gross Margin	46.0%	48.0%	(200)bps
Adjusted Operating Expenses	\$370	\$356	+3.9%
Adjusted EBITDA	\$321	\$325	(1.2)%
Adjusted EBITDA Margin	21.9%	23.6%	(170)bps
Non-GAAP Diluted EPS	\$4.61	\$4.57	+0.9%

SEGMENT ORGANIC SALES GROWTH^(2,3)

- EVM Segment +5.6%
- AIT Segment +9.7%

REGIONAL ORGANIC SALES GROWTH^(2,3)

- North America (2)%
- EMEA +17%
- Asia Pacific +14%
- Latin America +16%

EBITDA MARGIN DECREASE

- Lower Adjusted Gross Margin due to premium supply chain costs and China import tariff recovery in prior year period
- Partially offset by Adjusted Operating Expense leverage due to lower incentive compensation expense

Non-GAAP EPS INCREASE

- Lower tax rate and fewer shares outstanding
- Partially offset by higher interest expense

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Assumes constant FX to prior-year period

⁽³⁾ Excludes revenue from acquisitions for the 12 months following each respective acquisition date

Cash Flow & Balance Sheet Highlights



Cash Flow: 1H22

- \$123M free cash flow, \$391M lower YoY
 - Higher use of working capital (timing of sales)
 - Higher incentive compensation payment due to exceptional 2021 performance
 - Higher income tax payments
 - Initial \$45M settlement payment and \$7M of related costs (\$52M total)
- \$875M business acquisitions; \$6M venture investments
- \$605M share repurchases
- \$1,175M net debt borrowings

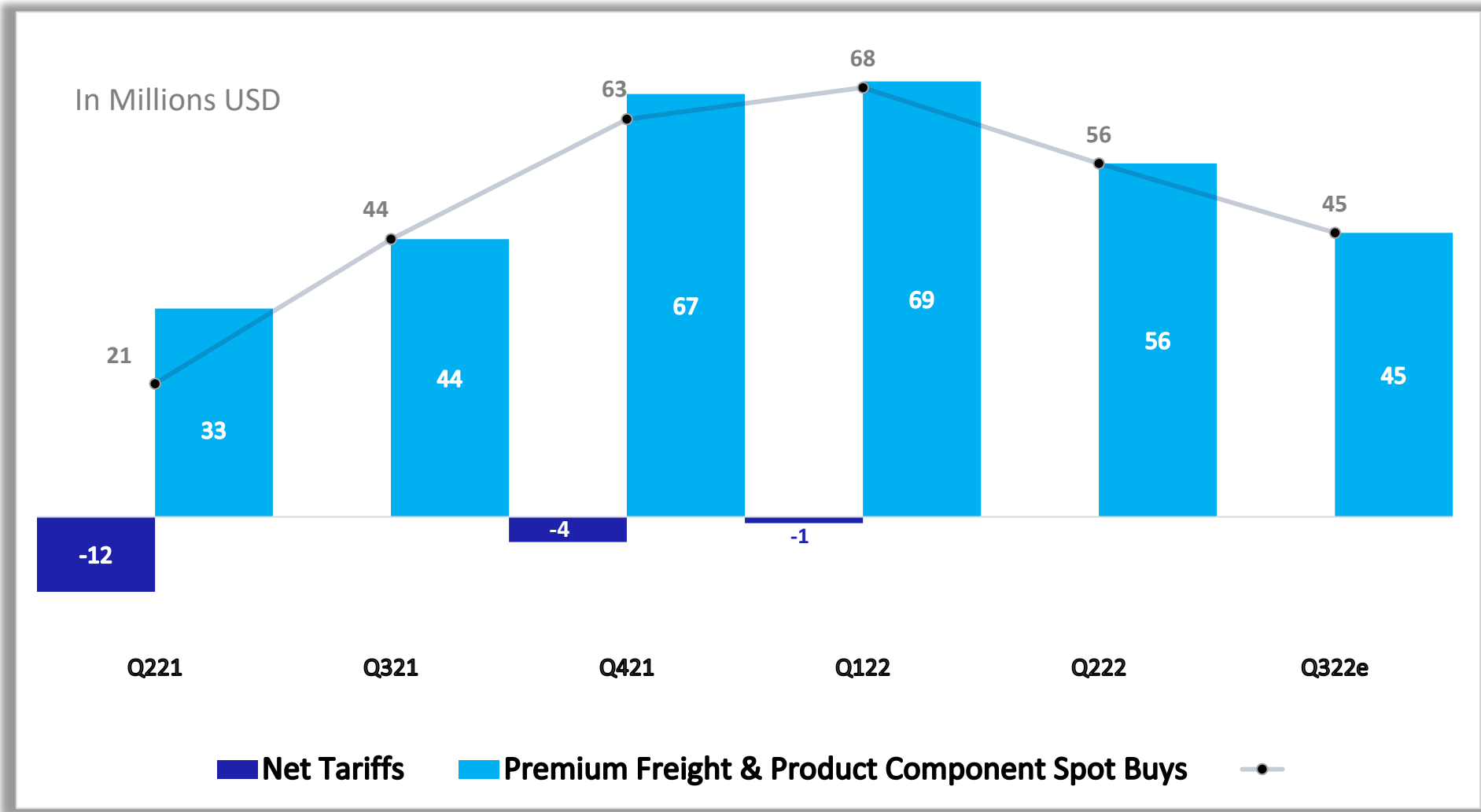


Strong Liquidity Position: 2Q22

- \$98M cash & cash equivalents
- \$2,171M total debt on balance sheet
- Net-debt-to-adjusted-EBITDA ratio of 1.7x
- Nearly \$1.5B capacity under revolving credit facility

Global Premium Supply Chain Costs Have Sequentially Improved From Peak

Abating as Component Supply and Freight Capacity Improves



Estimate
~\$200M FY22
Impact,
Net of Price
Increase

Outlook & Assumptions

3Q22

- Adjusted net sales growth ~ 2-4% YoY
 - approximately 2 point additive impact from recently acquired businesses
 - approximately 3 point negative impact from foreign currency translation
- Adjusted EBITDA margin ~ 22%
- Non-GAAP diluted EPS ~ \$4.35 to \$4.65
- ~ \$45M gross profit impact from premium supply chain costs from pre-pandemic baseline

FY22

- Adjusted net sales growth ~ 4-6% YoY
 - approximately 150 basis point additive impact from recently acquired businesses
 - approximately 225 basis point negative impact from foreign currency translation
- Adjusted EBITDA margin ~ 22%
- Free cash flow ≥ \$650M; \$150M settlement and related payments
- Capital expenditures ~ \$60-\$70M
- Depreciation ~ \$70-\$75M and Amortization ~ \$130-\$140M
- Stock-based compensation expense ~ \$85-\$95M
- Cost of debt (pre-tax) ~ 3-4%
- Non-GAAP tax rate ~ 18%
- ~ \$200M gross profit net impact from premium supply chain costs from pre-pandemic baseline

(1) Refers to impact to growth rate for the 12 months following acquisition date; Matrox Imaging was acquired on June 3, 2022; antuit.ai on Oct. 7, 2021; Fetch Robotics on Aug. 9, 2021; and Adaptive Vision on May 17, 2021

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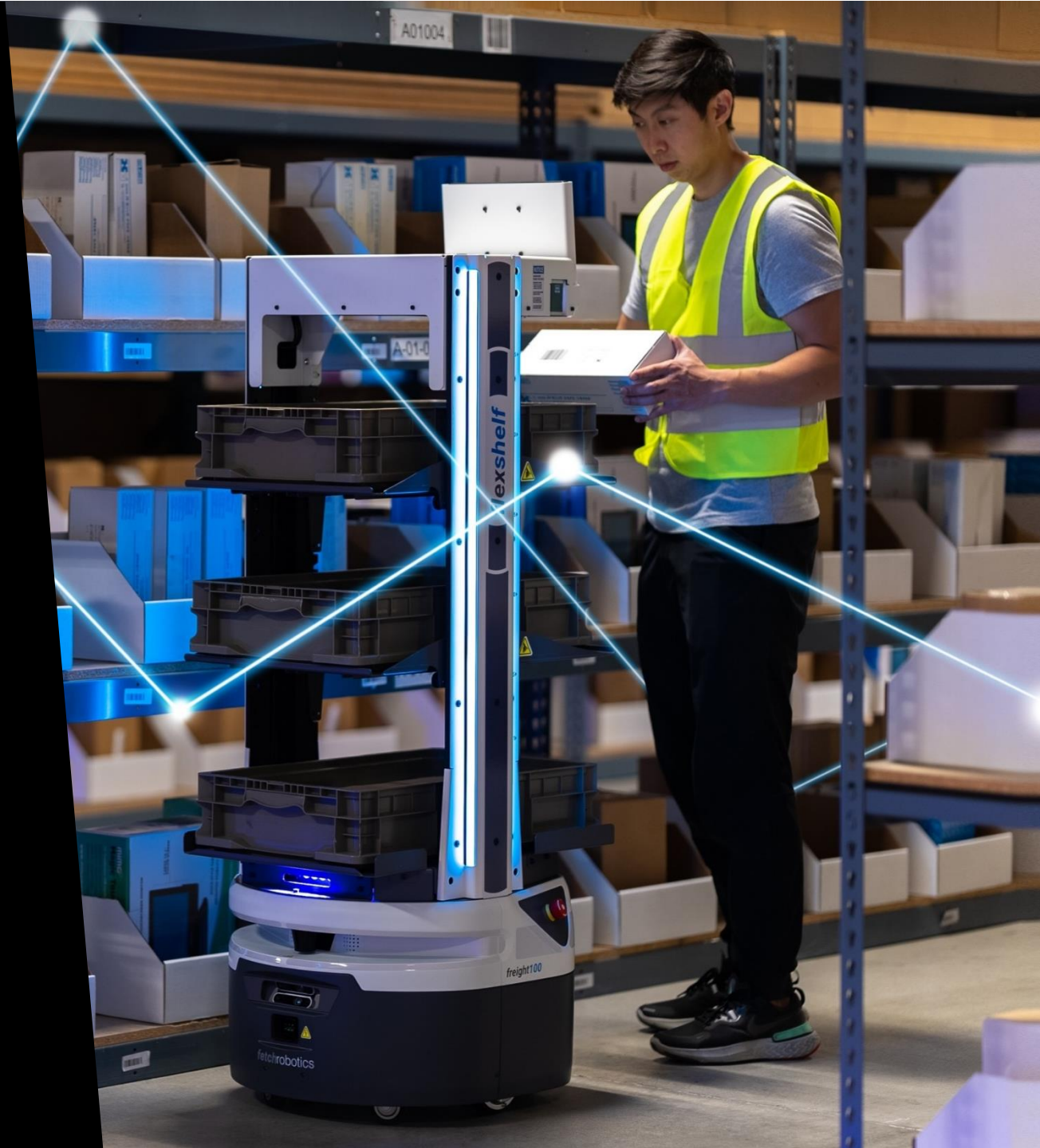
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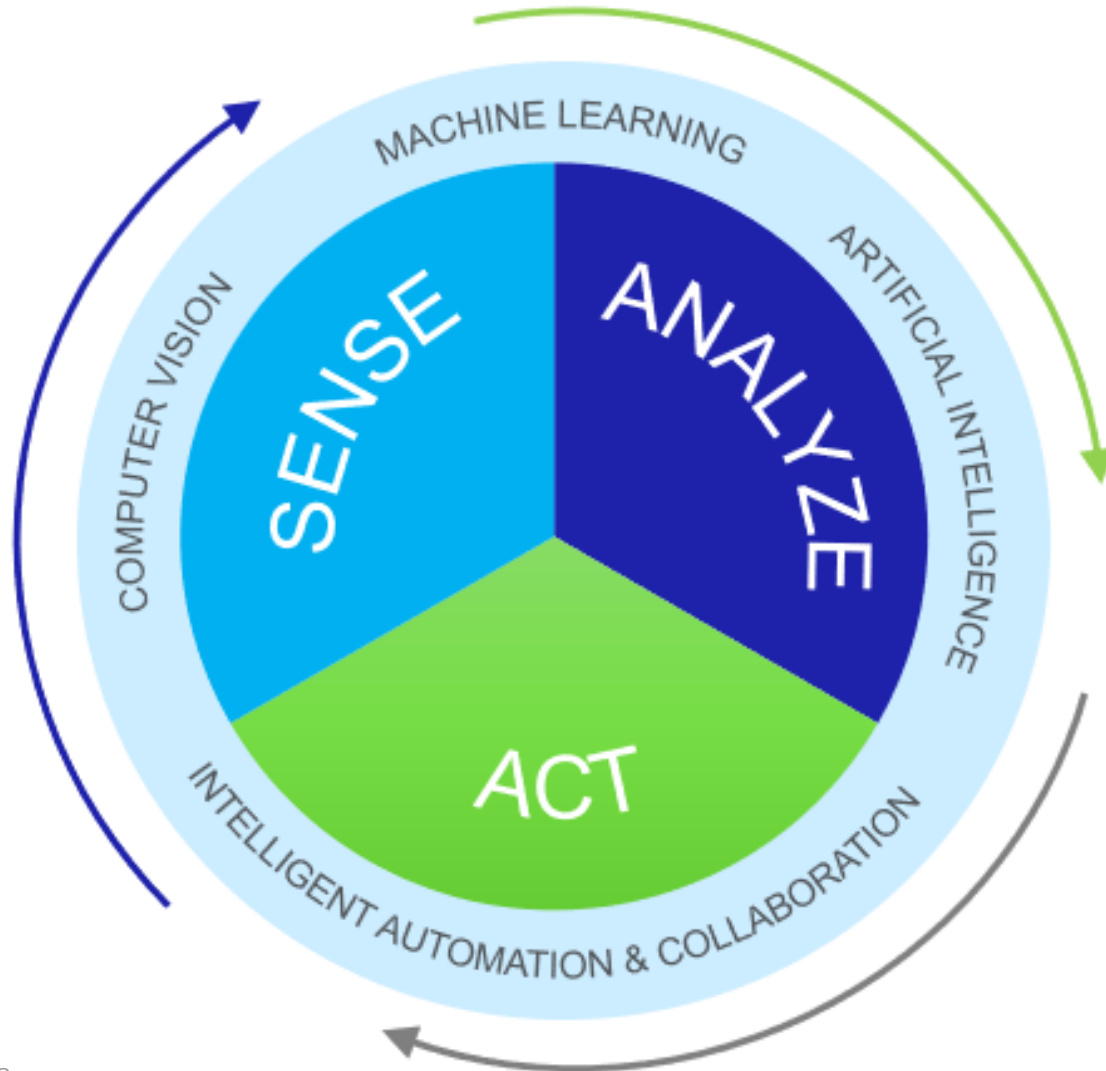
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Zebra Digitizes & Automates the Front Line of Business

Transforming Workflows: Purpose-Built Hardware + Software + Cloud Analytics

Real-Time Actionable Insights



Zebra Optimizes Workflows for the On-Demand Economy

Trusted Strategic Partner to Industry Leaders

Retail & Ecommerce



Transportation & Logistics



Manufacturing



Healthcare



Other Markets

Includes Government,
Education, Hospitality



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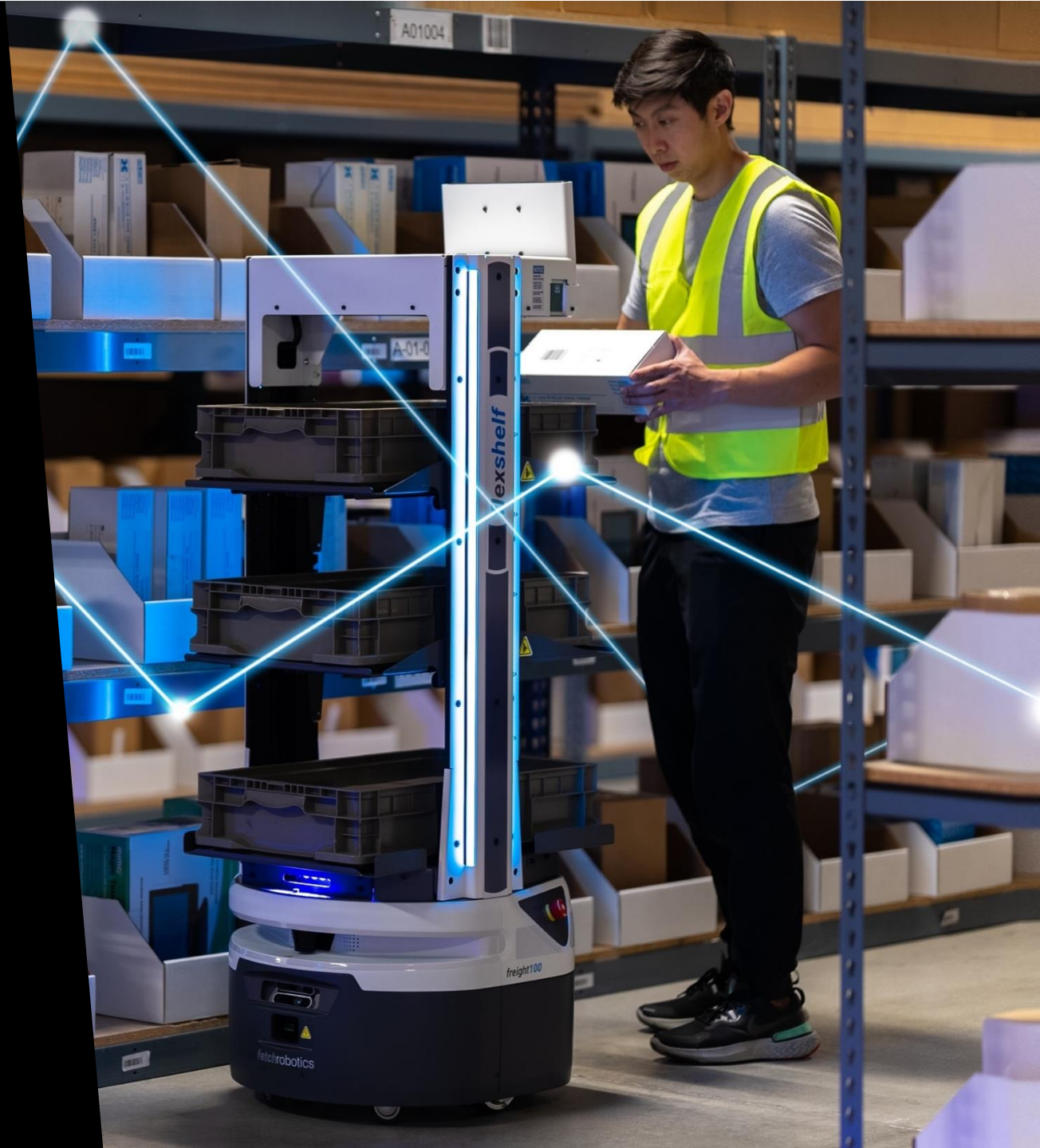
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Q&A



Appendix

Use of Non-GAAP Financial Information

This earnings release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra’s operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation (Unaudited)

	Three Months Ended		
	July 2, 2022		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	7.7 %	5.8 %	6.6 %
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	2.0 %	1.8 %	2.0 %
Impact of acquisitions ⁽²⁾	— %	(2.0)%	(1.7)%
Consolidated Organic Net sales growth	9.7 %	5.6 %	6.9 %

	Six Months Ended		
	July 2, 2022		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	(0.4)%	9.2 %	6.5 %
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	1.1 %	1.0 %	0.8 %
Impact of acquisitions ⁽²⁾	— %	(1.6)%	(1.2)%
Consolidated Organic Net sales growth	0.7 %	8.6 %	6.1 %

- (1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.
- (2) For purposes of computing Organic Net sales growth, amounts directly attributable to the acquisitions of Adaptive Vision, Fetch, Antuit and Matrox are excluded for twelve months following their respective acquisitions.

GAAP to Non-GAAP Gross Margin Reconciliation

	Three Months Ended					
	July 2, 2022			July 3, 2021		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 446	\$ 1,022	\$ 1,468	\$ 414	\$ 966	\$ 1,377
Reported Gross profit ⁽¹⁾	195	479	674	199	462	658
Gross Margin	43.7 %	46.9 %	45.9 %	48.1 %	47.8 %	47.8 %
<u>Non-GAAP</u>						
Adjusted Net sales	\$ 446	\$ 1,022	\$ 1,468	\$ 414	\$ 966	\$ 1,380
Adjusted Gross profit ⁽²⁾	195	480	675	200	463	663
Adjusted Gross Margin	43.7 %	47.0 %	46.0 %	48.3 %	47.9 %	48.0 %

	Six Months Ended					
	July 2, 2022			July 3, 2021		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales ⁽¹⁾	\$ 840	\$ 2,060	\$ 2,900	\$ 843	\$ 1,887	\$ 2,724
Reported Gross profit ⁽¹⁾	349	962	1,311	406	913	1,313
Gross Margin	41.5 %	46.7 %	45.2 %	48.2 %	48.4 %	48.2 %
<u>Non-GAAP</u>						
Adjusted Net sales	\$ 840	\$ 2,060	\$ 2,900	\$ 843	\$ 1,887	\$ 2,730
Adjusted Gross profit ⁽²⁾	349	964	1,313	407	916	1,323
Adjusted Gross Margin	41.5 %	46.8 %	45.3 %	48.3 %	48.5 %	48.5 %

- (1) Consolidated results include corporate eliminations related to business acquisition purchase accounting adjustments that are not reported in segment results.
- (2) Adjusted Gross profit excludes business acquisition purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except
share data)
(Unaudited)

	Three Months Ended		Six Months Ended	
	July 2, 2022	July 3, 2021	July 2, 2022	July 3, 2021
Net income	\$ (98)	\$ 219	\$ 107	\$ 447
Adjustments to Net sales ⁽¹⁾				
Purchase accounting adjustments	—	3	—	6
Total adjustments to Net sales	—	3	—	6
Adjustments to Cost of sales ⁽¹⁾				
Share-based compensation	1	2	2	4
Total adjustments to Cost of sales	1	2	2	4
Adjustments to Operating expenses ⁽¹⁾				
Amortization of intangible assets	35	26	68	52
Acquisition and integration costs	14	4	18	5
Litigation settlement	372	—	372	—
Share-based compensation	26	25	42	44
Exit and restructuring costs	2	—	2	—
Total adjustments to Operating expenses	449	55	502	101
Adjustments to Other income (expense), net ⁽¹⁾				
Amortization of debt issuance costs and discounts	4	1	4	2
Investment gain	—	1	—	—
Foreign exchange gain	3	1	(5)	(1)
Forward interest rate swap gain	(11)	3	(45)	(5)
Total adjustments to Other income (expense), net	(4)	6	(46)	(4)
Income tax effect of adjustments ⁽²⁾				
Reported income tax expense	(55)	19	(10)	67
Less: Adjusted income tax expense	(51)	(57)	(99)	(116)
Total adjustments to income tax	(106)	(38)	(109)	(49)
Total adjustments	340	28	349	58
Non-GAAP Net income	\$ 242	\$ 247	\$ 456	\$ 505
GAAP earnings per share				
Basic	\$ (1.87)	\$ 4.1	\$ 2.04	\$ 8.36
Diluted	\$ (1.87)	\$ 4.07	\$ 2.02	\$ 8.29
Non-GAAP earnings per share				
Basic	\$ 4.64	\$ 4.61	\$ 8.68	\$ 9.44
Diluted	\$ 4.61	\$ 4.57	\$ 8.61	\$ 9.36
Basic weighted average shares outstanding ⁽³⁾	52,138,470	53,449,143	52,642,348	53,460,495
Diluted weighted average and equivalent shares outstanding ⁽³⁾	52,138,470	53,908,295	53,033,729	53,930,103

1. Presented on a pre-tax basis.
2. Represents adjustments to GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions), as well as adjustments to exclude the impacts of certain discrete income tax items and incorporate the anticipated annualized effects of current year tax planning.
3. For GAAP purposes, in periods of a net loss, restricted stock and performance share awards, which are participating securities, are excluded from weighted-average shares outstanding and all unvested share-based awards were anti-dilutive and therefore excluded from diluted shares. For the three months ended July 2, 2022, Non-GAAP basic and diluted weighted average shares outstanding were 52,298,897 and 52,656,342, respectively.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions)
(Unaudited)

	Three Months Ended		Six Months Ended	
	July 2, 2022	July 3, 2021	July 2, 2022	July 3, 2021
Net income	\$ (98)	\$ 219	\$ 107	\$ 447
Add back:				
Depreciation	16	18	35	36
Amortization of intangible assets	35	26	68	52
Total Other income, net	8	9	(30)	5
Income tax expense	(55)	19	(10)	67
EBITDA (Non-GAAP)	(94)	291	170	607
Adjustments to Net sales				
Purchase accounting adjustments	—	3	—	6
Total adjustments to Net sales	—	3	—	6
Adjustments to Cost of sales				
Share-based compensation	1	2	2	4
Total adjustments to Cost of sales	1	2	2	4
Adjustments to Operating expenses				
Acquisition and integration costs	14	4	18	5
Litigation settlement	372	—	372	—
Share-based compensation	26	25	42	44
Exit and restructuring costs	2	—	2	—
Total adjustments to Operating expenses	414	29	434	49
Total adjustments to EBITDA	415	34	436	59
Adjusted EBITDA (Non-GAAP)	\$ 321	\$ 325	\$ 606	\$ 666
Adjusted EBITDA % of Adjusted Net Sales	21.9 %	23.6 %	20.9 %	24.4 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Six Months Ended	
	July 2, 2022	July 3, 2021
Net cash provided by operating activities	\$ 154	\$ 539
Less: Purchases of property, plant and equipment	(31)	(25)
Free cash flow (Non-GAAP) ⁽¹⁾	\$ 123	\$ 514

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.



About Zebra

Zebra (NASDAQ: ZBRA) empowers the front line of business in retail, manufacturing, transportation and logistics, healthcare, and other industries to achieve a performance edge. We deliver industry-tailored, end-to-end solutions that intelligently connect people, assets and data to help our customers make business-critical decisions.

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